

Qualitative Assessment

Helen of Troy Limited

2026

Summary

What do they sell?

Helen of Troy sells branded consumer products across two main segments: Home & Outdoor and Beauty & Wellness.

Home & Outdoor includes brands such as OXO, Hydro Flask, Osprey, and other products in food preparation, storage, cleaning, beverage ware, coolers, backpacks, and travel gear. Beauty & Wellness includes hair tools, hair liquids, grooming products, nail products, thermometers, humidifiers, water filtration, air purification, heaters, and fans under brands such as Drybar, Hot Tools, Curlsmith, Olive & June, PUR, Revlon, Honeywell, Braun, and Vicks.

Who buys it?

Customers are primarily mass-market consumers buying through Amazon, Walmart, Target, specialty retailers, drugstores, beauty retailers, sporting goods stores, home improvement stores, e-commerce channels, and direct-to-consumer channels.

The company is highly dependent on large retail partners. In fiscal 2026, Amazon represented approximately 20% of sales, Walmart 13%, Target 12%, and the top five customers represented about 50% of total net sales revenue.

Why do customers buy from them instead of others?

Customers buy from Helen of Troy because the company owns or licenses recognizable brands in everyday consumer categories.

OXO, Hydro Flask, Osprey, Vicks, Braun, Revlon, Hot Tools, Drybar, PUR, and other brands give the company shelf presence and consumer recognition. The products are not irreplaceable, but in categories like kitchen tools, hydration, wellness devices, hair tools, and backpacks, brand trust, retail distribution, product design, and perceived quality matter.

Earnings

What are the primary drivers of earnings?

Earnings are primarily driven by consumer demand, retail orders, gross margin, tariff costs, product innovation, brand strength, and operating expense control.

The financial history shows a business that grew meaningfully for more than a decade. Revenue increased from about \$1.18 billion in 2011 to about \$1.91 billion in 2024, before declining to about \$1.79 billion in 2025. Operating income was generally positive and often strong before the 2025 impairment-driven collapse.

The 2025 reported loss is not a normal operating year. The company recorded approximately \$885.9 million of pre-tax asset impairment charges, including impairments tied to Hydro Flask, Osprey, Health & Wellness, Drybar, Curlsmith, and Revlon.

Does the company have pricing power, or are prices determined by the market?

Helen of Troy has some brand-based pricing power, but pricing is heavily constrained by retailers and competition.

The company sells branded products, and brands like OXO, Hydro Flask, Osprey, Vicks, Braun, and Revlon likely carry more pricing power than unbranded alternatives. However, the company operates in mature and highly competitive categories, competes with other branded products and private-label products, and depends on large retailers with significant bargaining power.

Overall, pricing power exists, but it is not dominant.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings are somewhat unpredictable and consumer-discretionary.

The business historically produced positive earnings and free cash flow, but recent results show that earnings power can change quickly when consumer demand weakens, tariffs increase, retailers adjust ordering patterns, or acquired brands underperform. Fiscal 2026 was especially distorted by tariffs, lower consumer confidence, retailer order changes, and impairment charges.

This is not a stable utility-like business. It is a branded consumer products business with real cash-generation history but meaningful exposure to demand cycles, retail inventory behavior, tariffs, and management execution.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

Helen of Troy's moat comes primarily from brand ownership, retail relationships, product development, and scale.

The moat is real but not extremely deep. The company has recognizable brands and broad retail distribution, but the product categories are competitive, mature, and exposed to private-label alternatives.

Cost advantage:

Limited.

The company may have sourcing and scale advantages, but it outsources manufacturing and does not appear to have a structural low-cost position competitors cannot replicate. A large portion of manufacturing is performed by third-party manufacturers in Asia, including significant exposure to China.

Network effects:

None.

Switching costs:

Low.

Consumers can easily switch between competing bottles, kitchen tools, backpacks, hair tools, humidifiers, and filtration products. Retailers can also adjust shelf space and promote alternatives.

Brand:

Moderate to strong.

This is the company's main advantage. The portfolio contains several recognizable brands, including OXO, Hydro Flask, Osprey, Vicks, Braun, Revlon, Hot Tools, Drybar, PUR, Curlsmith, and Olive & June. The issue is that some important brands are licensed rather than owned, and the 2026 impairment suggests that some acquired or licensed brand economics were previously overestimated.

Regulation:

Limited.

Some wellness products are subject to product safety, labeling, FDA, EPA, CPSC, and other compliance requirements, but regulation does not appear to create a major competitive advantage. It is more of a cost and risk factor than a moat.

Scale:

Moderate.

Scale matters in sourcing, product development, retailer relationships, marketing, and distribution. The company sells in approximately 100 countries and has relationships with major retailers including Amazon, Walmart, and Target.

Asset ownership:

Moderate, mostly intangible.

The company's most valuable assets are its brands, trademarks, patents, product designs, retail relationships, and distribution infrastructure. It owns important brands like OXO, Hydro Flask, Osprey, Drybar, Hot Tools, Curlsmith, Olive & June, and PUR, but also relies on licensed brands such as Revlon, Honeywell, Braun, and Vicks.

Geographic monopoly:

None.

Helen of Troy sells globally through retail and online channels. It does not benefit from local monopoly economics.

Capital Allocation

Have they diluted shareholders?

No. The company has reduced its share count meaningfully.

According to the financial summary, shares outstanding declined from about 31.7 million in 2011 to about 23.0 million in 2025. This is a positive long-term capital allocation signal.

Are buybacks intelligent or desperate?

Historically, buybacks appear shareholder-friendly, but the overall capital allocation record is mixed.

The declining share count is clearly positive. However, the large impairment charge raises a serious question about whether prior acquisitions and brand investments were made at attractive prices. Buying back stock while also overpaying for brands would make the total capital allocation record less attractive.

Debt behavior rational?

Debt behavior is a concern.

Debt increased from about \$349 million in 2011 to about \$781 million in 2025, while shareholder equity fell sharply after the impairment. Debt-to-equity rose to nearly 98% in 2025 according to the financial summary. That is not necessarily fatal because the business still generated positive free cash flow, but leverage is much more important now that normalized earnings are uncertain.

Acquisitions disciplined?

Questionable.

The 2026 impairment is the biggest warning sign in the entire assessment. Helen of Troy recorded \$885.9 million of pre-tax impairments across Home & Outdoor and Beauty & Wellness, including Hydro Flask, Osprey, Health & Wellness, Drybar, Curlsmith, and Revlon-related assets.

This does not automatically mean every acquisition was poor, but it strongly suggests that management or prior management overestimated the earnings power of several assets.

How has management historically used free cash flow?

Historically, free cash flow has been used for acquisitions, debt management, internal reinvestment, and share repurchases.

The company generated positive free cash flow nearly every year shown in the financial summary, including about \$132 million in 2025 despite the reported net loss. That is one of the most attractive parts of the situation. However, the value of that free cash flow depends heavily on whether it is used to reduce debt and stabilize the business rather than continue acquisition-driven mistakes.

Failure

How could this business fail?

The most realistic failure scenario is not sudden bankruptcy, but a slow erosion of normalized earnings power combined with too much debt.

The company could fail as an investment if demand continues declining, tariffs remain elevated, large retailers reduce orders, acquired brands continue underperforming, and debt limits flexibility. The company's own filing notes that fiscal 2026 was negatively affected by tariff costs, retailer order cancellations or pauses, lower consumer confidence, stop shipment actions related to tariff price increases, and China market pressure.

A second failure path is capital allocation. If management continues buying brands at prices that later require impairments, the business could generate cash but fail to create shareholder value.

How could competitors or technology disrupt this business?

Competitors can disrupt Helen of Troy through cheaper private-label products, stronger brands, better product innovation, faster trend response, and stronger retail relationships.

In Home & Outdoor, competitors include Yeti, Stanley/Owala-related drinkware competitors, Newell, Simplehuman, Breville, Patagonia, The North Face, CamelBak, and others. In Beauty & Wellness, competitors include Conair, Dyson, L'Oréal, SharkNinja, Brita, Levoit, Omron, and others.

Technology disruption is less direct than in software, but consumer products can still be disrupted by viral brands, TikTok-driven products, private labels, Amazon-native brands, and faster product cycles.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Possibly, but only at a very attractive price and with a clear debt-reduction plan.

The business owns real brands, has a long operating history, generated free cash flow across many years, and sells products that consumers will continue buying. However, I would not want to own it blindly because recent results show serious uncertainty around brand durability, acquisition quality, tariffs, retailer power, and normalized earnings.

This is not a “close the market for 10 years and sleep perfectly” business. It is more of a potentially undervalued turnaround / normalized earnings situation.

Why will this business still exist in 20 years?

Helen of Troy will likely still exist because the underlying product categories are durable.

Consumers will still need kitchen tools, water bottles, backpacks, hair tools, grooming products, thermometers, humidifiers, air purifiers, fans, and water filtration products. The specific winning brands may change, but the categories themselves are not going away.

The company’s future depends on whether it can keep its brands relevant, defend shelf space, innovate quickly, manage tariffs and sourcing risk, and avoid overpaying for acquisitions.

Final

What do I not understand? What makes me uncomfortable?

The biggest uncertainty is normalized earnings power.

The reported 2025 loss is distorted by the \$885.9 million impairment, but the underlying business also clearly weakened. Revenue declined from about \$2.22 billion in 2021 to about \$1.79 billion in 2025, and operating income before the impairment is still materially below the 2020–2023 level.

The second concern is capital allocation. The share count reduction is excellent, but the impairment raises real questions about acquisition discipline and whether management previously paid too much for brands.

The third concern is debt. The company still produces free cash flow, but leverage matters much more when earnings are falling and the company is exposed to tariffs, retailers, and discretionary consumer demand.

Pass or Fail to Phase 3?

Helen of Troy is worth valuing, but only as a cautious turnaround / normalized earnings candidate.

The company has real brands, long-term revenue growth over the full historical period, a materially reduced share count, and a history of positive free cash flow. The 2025 net loss should not automatically disqualify it because it was heavily driven by non-cash impairment charges.

However, this should not be valued like a clean compounder. The valuation should be conservative and should focus on normalized EBIT/free cash flow, debt reduction capacity, brand durability, and whether the recent decline is temporary or permanent.